IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/47(CHE)/ 2021
CP(CAA)/48(CHE)/ 2021
In
CA(CAA)/782(CHE)/2020
CA(CAA)/783(CHE)/2020

Under Sections 230 to 232 of the Companies Act, 2013
In the matter of *Scheme of Arrangement*

Between

M/s. SVB HOLDINGS PRIVATE LIMITED
CIN: U74999TZ2012PTC018160
1212, Trichy Road,
Coimbatore – 641 018

.....Petitioner/Demerged Company

And

M/s. VELMURUGA ENTERPRISES PRIVATE LIMITED
CIN: U45200TZ2007PTC013463
1212, Trichy Road,
Coimbatore – 641 018

....Petitioner/Resulting Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Pronounced on 11th March 2022

CORAM:
Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioners : Shri. R. Vidhya Shankar,*Advocate*
Pranav V Shankar, Advocate

COMMON ORDER

***Per:* ANIL KUMAR B, MEMBER (TECHNICAL)**

Under consideration are two Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the

Petitioner Companies viz. M/s. **SVB Holdings Private Limited***(hereinafter referred to as "Demerged Company")* and **M/s.Velmuruga Enterprises Private Limited** *(hereinafter referred to as "Resulting Company")*and their respective shareholders and creditors under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement (hereinafter the 'SCHEME') proposed between the Companieswhich has beenannexed as exhibit 'P5' to the typed set filed along with the Petition.

2. The Scheme contemplates the following:

(a) Transfer and vesting of the demerged undertaking, as defined in Part II clause d. of the Scheme, from a demerged company as a going concern into the resulting company in consideration of issuance and allotment of 9 equity shares of Rs.10 each, credited as fully paid up, to shareholders of the De-merged company for every 1 equity share of Rs.10 each held in the De-merged company on Record Date, in lieu thereof, in compliance with section 2(19AA) of Income Tax Act, 1961.

3. The Rationale and benefits of the Scheme as submitted by thePetitioner Companies are as follows;

a. Enable differentiated management approach and focus in relation to each of the Demerged Undertakings and Remaining Business, achieve

efficiency of operations and management, realigning the business operations, to provide greater focus on each undertaking independently and to create more value to the shareholders.

b. To enable a dedicated management focus and to accelerate growth of the Demerged Undertaking.

c. To secure the advantage on utilization of combined available resources, expertise in relevant field, skilled labour, experienced work force, in relation to the property development activities coupled with reduction of administration cost/operational cost for implementing and completing the projects.

d. To provide greater flexibility, transparency on the operational and financial performance of the undertakings and would provide high degree of accountability and independence.

e. To unlock the true value of undertakings of the De-merged company and to create enhanced value for shareholders of the De-merged Company.

4. The Petitioner Companies had filed the First Motion Application vide CA/782/CAA/2021 and CA(CAA)/783(CHE)/2020 seekingdispensationof the requirement of convening the meeting of the Equity Shareholders and Secured Creditors and Unsecured Creditors in relation to the Demerged and Resulting Company and based on such application moved under Sections 230-232 of the

Companies Act, 2013, directions were issued by this Tribunal, vide order dated 30.04.2021. Subsequent to the said order, the second motion two petitions were filed before this Tribunal by the petitioner companies on 14.09.2021 for fixing a date of hearing as well as for other consequential directions in terms of provisions of Section 230 to 232 of the Act read with Rule 15 of the Rules.

5. This Tribunal vide order dated 15.12.2021 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. Regional Director (Southern Region), RoC, Coimbatore, the Jurisdictional Income Tax Departmentas well as for paper publication to be made in "Indian Express", English (Coimbatore Edition) and "Dina Mani" Tamil (Coimbatore Edition).

6. In compliance of the same, the Petitioner Companies have filed an affidavit of service on 17.01.2022 in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have complied with the paper publication as directed by the Tribunal in one issue of "Indian Express", English (Coimbatore Edition) and "Dina Mani" Tamil (Coimbatore Edition) on 22.01.2022. Further notices have been also served to (i) The Regional Director, Southern Region, Chennai on 20.12.2021, (ii) Registrar of Companies Coimbatore on 20.12.2021,(iii)Deputy Commissioner of Income Tax, Corporate

Circle 1, Coimbatore on 20.12.2021, and the proof of the same acknowledgements/receipts have also been enclosed.

7. The Regional Director, (for brevity, the 'RD')Chennai to whom the notice was issued in the second motion, has filed his Report on 08.12.2021 before this Tribunal and has stated that after examining the Scheme, not to make any objection to the Scheme

8. Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

9. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> *"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the*

Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

10. The Petitioner Companieshavecomplied with the proviso to Section 230 (7) / Section 232 (3) by filing the certificate of the Company's Auditor in relation to compliance with the prescribed Accounting Standards and Section 133 of the Companies Act, 2013 and the rules framed thereunder.

11. The Petitioner companies have submitted that no investigation proceedings are pending against them under the provisions of the Companies Act, 1956 or the Companies Act, 2013

12. Further, the petitioner companies have submitted that the scheme does not violate any provisions of the Competition Act and an affidavit in this regard have been filed with the Tribunal.

13. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangementappended as Exhibit "P5" with the Company Petition as well as the prayer made therein.

14. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

15. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertakingshall be continued by or against the Resulting Company; and

(iv) That the services of all the employees of the Demerged Companyemployed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Scheme of Arrangement herein the shares in the Resulting Company to which they are entitled under the said Scheme of Arrangement in terms of Part V of the Scheme

(vi) That the Appointed date for the Scheme shall be 01.10.2020 as mentioned in Part II clause 1 sub clause (b) of the scheme.

(vii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(viii) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

16. Accordingly, the Company Petitions stand ***Allowed***.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Sudhir